AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies

ACT112

Managerial Accounting

Final Examination – Version B
Fall Semester 2025-2026

21 – January – 2026

Number of Pages: 3 (including this cover sheet)	Time Allowed: 2 hours

Instructions:

Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
Mobile phones must be in "SWITCHED **OFF**" mode throughout the examination.
This is a **CLOSED** book examination. NO documents of any kind are allowed.
You **MUST** answer the questions using only the answer booklets provided.
You **MUST** return the examination paper together with your answer booklets.
Do **NOT** write your answers in pencil except graphs/sketches.
Students are **NOT** allowed to use any type of dictionary or mobile phones during the examinatio
Students are allowed to use ***non-programmable*** calculators only (if needed).
Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

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Question 1 (50 marks):

A- Handy Tools sells products A, B, and C. In 2023, the unit sales price ($), variable costs ($), and sales mix of these products were:

	Products		
	A	B	C
Selling price per unit	25	30	20
Variable cost per unit	5	7	4
Sales mix ratio	1	3	1

The fixed costs are $2,520

Required:

(1) Calculate Handy Tool's breakeven sales (units).

(2) Calculate the sales (in units) required to earn a target profit of $2,100. Prove your answer.

(22 marks)

B- The management of Montana Inc. is considering dropping product S2. Data from the company's accounting system appears below:

Sales	$300,000
Variable Costs	$120,000
Fixed Costs	$185,000

Required:

(1) Suggest whether Product S2 should be dropped if total fixed costs in full are avoidable? Explain your rationale.

(2) Will your decision be changed if further investigation has revealed that $135,000 of the fixed costs are avoidable if product S2 is discontinued? Explain your rationale. (22 marks)

C- State six advantages of budgets. (6 marks)

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Question 2 (50 marks):

A- Genesis and Co. is preparing its budget for the third quarter of the year. At a price of $3 per unit, it expects to sell 1,500 units in July, 2,200 units in August, and 3,600 units in September. The company did not sell any units in May and June. Its cash collection pattern is as follows:

- 50% collected in the same month of sales
- 30% collected one month after the sale
- 20% collected two months after the sale

Required: Prepare the third quarter Sales Budget and Cash Collections Budget using the information provided above. How much will the balance of the accounts receivable account be on the 30th of September?

B- Selected sales and operating data for three divisions of different structural engineering firms are given as follows:

	Division A	Division B
Sales	$300,000	$400,000
Average operating assets	$100,000	$200,000
Net operating income	$15,000	$24,000
Minimum required rate of return	5%	6%

Required:

(1) Compute the margin, turnover, and return on investment (ROI) for each division.

(2) Compute the residual income for each division.

(3) Assume that each division is presented with an investment opportunity that would yield a 7% rate of return. If performance is being measured by residual income, which division or divisions will probably accept the opportunity? Reject? Why?

(30 marks)

[END OF EXAM]

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